Diagnostic Test 2.1–2.5: Answer Key and Weak-Area Finder

For students. Use this key after the test to find out which topics and skills you need to practise.

Step 1. Mark your paper

Put ✓ or × next to each answer on your paper, then copy them into the last row below. Write your score out of 20.

Đánh dấu ✓ hoặc × cho từng câu, chép vào hàng cuối của bảng, rồi ghi điểm trên 20.

Question	1	2	3	4	5	6	7	8	9	10	11	12	13	14	15	16	17	18	19	20
Answer	**C**	**A**	**D**	**B**	**A**	**C**	**B**	**D**	**B**	**D**	**A**	**C**	**D**	**B**	**C**	**A**	**C**	**A**	**D**	**B**
Topic	2.1	2.1	2.1	2.1	2.2	2.2	2.2	2.2	2.3	2.3	2.3	2.3	2.4	2.4	2.4	2.4	2.5	2.5	2.5	2.5
Skill	T	T	C	T	T	M	R	R	M	M	M	C	T	R	R	R	C	C	C	C
My answer ✓ / ×																				

Skills: **T** = knowing the key terms · **M** = movement or shift? · **R** = reading tables and diagrams · **C** = cause and effect chains

Step 2. Check your "?" answers

Look at every question where you wrote **?**. If you got it right, it was partly luck, so treat it as a **weak area too** and read its feedback.

Câu nào em đánh dấu ? mà vẫn đúng thì có thể do may mắn, nên hãy coi đó cũng là phần cần ôn.

Step 3. Find your weak topics

Count your correct answers for each topic.

4 / 4 Secure. Well done. Move on.

3 / 4 Nearly there. Read the feedback for the one you got wrong.

0–2 / 4 Needs work. Read the feedback, then do the revision task.

Topic	Questions	My score	If this is a weak area, do this
2.1 Markets and the price mechanism	1, 2, 3, 4	**/ 4**	Study companion section 2.1: the market system, factor and product markets, and the three functions of price (signalling, incentive, rationing).
2.2 Demand	5, 6, 7, 8	**/ 4**	Study companion section 2.2: the definition of demand, movement vs shift, and the conditions of demand (substitutes, complements, income).
2.3 Supply	9, 10, 11, 12	**/ 4**	Study companion section 2.3: extension and contraction vs increase and decrease in supply, and the conditions of supply (costs, technology, tax, subsidy, weather).
2.4 Price determination	13, 14, 15, 16	**/ 4**	Study companion section 2.4: reading Qd and Qs from a table, shortage and surplus, and how the price moves back to equilibrium.
2.5 Price changes	17, 18, 19, 20	**/ 4**	The 2.5 Price changes worksheet: the four chains (demand up or down, supply up or down) and what happens when both curves shift.

Step 4. Find your weak skills

Some mistakes are about a skill, not a topic. Count your correct answers for each skill.

Skill	Questions	My score	If this is a weak area, do this
T Knowing the key terms	1, 2, 4, 5, 13	**/ 5**	Make flashcards of the definitions. Learn the exact words, for example "willing **and able**", "**at each price**".
M Movement or shift?	6, 9, 10, 11	**/ 4**	Use the golden rule: the good's **own price** causes a movement along the curve. **Anything else** shifts the curve.
R Reading tables and diagrams	7, 8, 14, 15, 16	**/ 5**	Read the question twice. Find the right row or curve first, then work out the **gap** or the **total**.
C Cause and effect chains	3, 12, 17, 18, 19, 20	**/ 6**	Write every chain in four steps: shift → shortage or surplus at the old price → price changes → movement along the other curve.

Step 5. My plan

My weakest topic or skill is …	This week I will …

Feedback for every question

For each question you got wrong, find the letter you chose. The red box explains the mistake. The green box explains the correct answer.

Với mỗi câu sai, tìm chữ cái em đã chọn. Ô đỏ giải thích lỗi sai, ô xanh giải thích đáp án đúng.

1 **A garment factory in Bình Dương decides to use more sewing machines and fewer workers. Which basic economic question is the factory answering?** 2.1 · Knowing the key terms

A What to produce?
If you chose A: The factory has already decided *what* to make (clothes). The question is about the method.

B For whom to produce?
If you chose B: "For whom" is about which consumers get the goods. That depends on who is willing and able to pay.

C How to produce? ✓ **CORRECT**
Choosing between machines (capital) and workers (labour) is a choice about the **method** of production, so it answers *how* to produce.

D When to produce?
If you chose D: "When to produce" is not one of the three basic economic questions (what, how, for whom).

2 **Which of these is an example of a factor market?** 2.1 · Knowing the key terms

A A café hires a new barista ✓ **CORRECT**
In a factor market, firms buy or hire **factors of production** (land, labour, capital, enterprise). Hiring a barista is buying labour.

B A student buys a bánh mì at a stall
If you chose B: A bánh mì is a finished good bought by a consumer. That is a product market.

C A family buys a new motorbike
If you chose C: A motorbike bought by a family is a consumer good. That is a product market.

D A tourist pays for a hotel room
If you chose D: A hotel room is a service bought by a consumer. That is a product market.

3 **During a heatwave in Hồ Chí Minh City, the price of bottled water rises. What does the higher price signal to producers?** 2.1 · Cause and effect chains

A Their costs of production have risen
If you chose A: The price rose because demand rose, not because costs rose. Don't mix up price (what buyers pay) and cost (what firms spend).

B The government wants more water sold
If you chose B: In a market system, prices send signals. The government is not involved here.

C Consumers want to buy less water
If you chose C: This is the wrong way round. More buyers want water, so the price is pushed up.

D Consumers want to buy more water ✓ **CORRECT**
This is the **signalling** function. A higher price tells producers that consumers want more of the good. Producers then have an incentive to supply more.

4 **A popular concert has only 2,000 tickets, but 5,000 fans want one. The price rises from 300,000₫ to 500,000₫, until only 2,000 fans still want to buy a ticket. Which function of the price mechanism does this show?** 2.1 · Knowing the key terms

A Signalling
If you chose A: Signalling is about the price sending information to producers. Here the price decides *who* gets the limited tickets.

B Rationing ✓ **CORRECT**
Rationing: when a good is scarce, a higher price shares out the limited tickets. Only the 2,000 fans who are willing and able to pay 500,000₫ get one.

C Incentive
If you chose C: Incentive is about a higher price encouraging firms to produce more. The number of tickets is fixed here.

D Subsidising
If you chose D: Subsidising is a government payment to producers. It is not a function of the price mechanism.

5 **What is meant by demand?** 2.2 · Knowing the key terms

A The amount consumers are willing and able to buy at each price ✓ **CORRECT**
Demand must be **willing and able** (backed by money) and linked to **each price**.

B The amount consumers would like to buy if they had more money
If you chose B: Wanting a good without the money to pay is not demand. Demand needs *ability* to pay.

C The amount firms are willing and able to sell at each price
If you chose C: This is the definition of **supply**, not demand.

D The amount of a good that consumers need to live a good life
If you chose D: Demand is not about need. It is about what consumers are willing and able to pay for.

6 **The price of a cup of trà sữa falls from 40,000₫ to 30,000₫. Nothing else changes. What happens in the market for trà sữa?** 2.2 · Movement or shift?

A Demand increases: the curve shifts right
If you chose A: This is the most common mistake. A change in the good's own price never shifts its own demand curve. Only non-price factors shift it.

B Demand decreases: the curve shifts left
If you chose B: A price change does not shift the demand curve. And a lower price makes people buy more, not less.

C Extension in demand: a move down the curve ✓ **CORRECT**
A change in the good's **own price** causes a **movement along** the demand curve. A lower price leads to an extension (move down the curve).

D Contraction in demand: a move up the curve
If you chose D: This is a movement along the curve, but in the wrong direction. A contraction happens when price *rises*.

7 **The table shows how many bánh bao three students buy each week at different prices. What is the market demand at a price of 20,000₫?**

2.2 · Reading tables and diagrams

Price of a bánh bao (₫)	Lan	Minh	Huy
30,000	2	1	0
25,000	3	2	1
20,000	5	4	3
15,000	7	6	4

A 6
If you chose A: 6 is the market demand at 25,000₫ (3 + 2 + 1). Check you used the correct row.

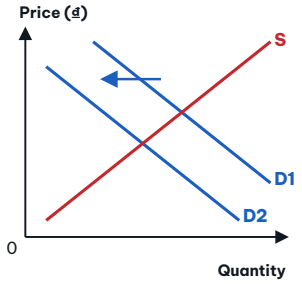
B 12 ✓ **CORRECT**
Market demand = the total of all individual demands **at the same price**. At 20,000₫: 5 + 4 + 3 = 12.

C 17
If you chose C: 17 is the market demand at 15,000₫ (7 + 6 + 4). Check you used the correct row.

D 4
If you chose D: 4 is the average, or Minh's demand only. Market demand is the **total** of everyone's demand.

8 **The diagram shows the market for petrol motorbikes. What could cause the change from D1 to D2?**

2.2 · Reading tables and diagrams



A A fall in the price of petrol motorbikes
If you chose A: A change in the good's own price causes a movement along the curve, not a shift.

B A successful advertising campaign
If you chose B: A successful advertising campaign makes consumers more willing to buy, so demand shifts **right**, not left.

C A fall in the price of petrol
If you chose C: Petrol is a **complement**. Cheaper petrol makes motorbikes cheaper to use, so demand shifts **right**.

D A fall in the price of electric motorbikes ✓ **CORRECT**
The demand curve shifts **left**. Electric motorbikes are a **substitute**. When they get cheaper, some buyers switch to them, so demand for petrol motorbikes decreases at every price.

9 **Which of these causes an extension in supply of mangoes?**

2.3 · Movement or shift?

A Farmers start to use new picking machines
If you chose A: New technology is a condition of supply. It **shifts** the supply curve to the right (an increase in supply), not a movement along it.

B The market price of mangoes rises ✓ **CORRECT**
An extension is a **movement up along** the supply curve. It is caused only by a rise in the good's **own price**.

C Wages paid to farm workers fall
If you chose C: Lower wages reduce costs. This **shifts** supply to the right. It is an increase in supply, not an extension.

D The government gives farmers a subsidy
If you chose D: A subsidy lowers costs and **shifts** supply to the right. It is an increase, not an extension.

10 **Which of these will shift the supply curve of coffee to the left?** 2.3 · Movement or shift?

A A subsidy paid to coffee farmers
If you chose A: A subsidy lowers costs, so supply shifts **right**.

B New, faster harvesting machines
If you chose B: Better technology lowers costs, so supply shifts **right**.

C A fall in the market price of coffee
If you chose C: A fall in the good's own price causes a **contraction** (movement down the curve), not a shift.

D A long drought in Đắk Lắk province ✓ **CORRECT**
A drought destroys part of the crop, so farmers can supply **less at every price**. The supply curve shifts left (a decrease in supply).

11 **The government puts an indirect tax on sugary soft drinks. How is this shown on a demand and supply diagram?** 2.3 · Movement or shift?

A The supply curve shifts left ✓ **CORRECT**
An indirect tax is paid by the **producer** to the government, so it acts like an extra cost. Firms supply less at every price, and the **supply** curve shifts left.

B The supply curve shifts right
If you chose B: A **subsidy** shifts supply to the right. A tax does the opposite.

C The demand curve shifts left
If you chose C: This is a common mistake ("consumers pay the tax"). The tax is collected from producers, so it shifts **supply**, not demand.

D A move down the supply curve
If you chose D: A tax is a non-price factor, so it shifts the curve. It is not a movement along it.

12 **The minimum wage for factory workers rises. Why does the supply of shoes decrease?** 2.3 · Cause and effect chains

A Firms want more profit, so they make more shoes
If you chose A: Higher costs **reduce** profit at every price. Firms supply less, not more.

B Consumers buy fewer shoes at every price
If you chose B: This describes a decrease in **demand**. A wage rise affects producers, not consumers.

C Costs rise, so firms supply fewer at every price ✓ **CORRECT**
Wages are a **cost of production**. Higher costs reduce profit at every price, so firms supply less at every price, and the supply curve shifts left.

D The price of shoes rises, so firms supply fewer
If you chose D: A higher price would cause an **extension** (firms supply *more*). Supply decreases because costs rose.

13 **What is meant by the equilibrium price in a market?** 2.4 · Knowing the key terms

A The price at which firms make the most profit
If you chose A: Equilibrium is not about the most profit. It is where the plans of buyers and sellers match.

B The price at which the demand curve shifts
If you chose B: Curves shift because of non-price factors, not at a particular price.

C The price the government sets for a good
If you chose C: In a free market, demand and supply set the price, not the government.

D The price at which quantity demanded equals quantity supplied ✓ **CORRECT**
At the equilibrium price the market **clears**: quantity demanded = quantity supplied, so there is no shortage and no surplus.

14 **The table shows the market for bánh mì in a school canteen. The canteen sets the price at 15,000₫. What is the situation in the market?** 2.4 · Reading tables and diagrams

Price of a bánh mì (₫)	Quantity demanded per day	Quantity supplied per day
30,000	60	180
25,000	90	150
20,000	120	120
15,000	150	90
10,000	180	60

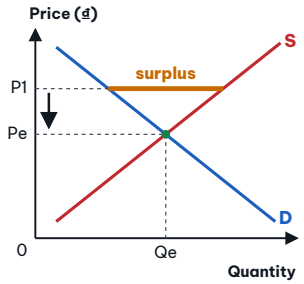
A A surplus of 60
If you chose A: The size is right but the direction is wrong. When Qd is bigger than Qs it is a **shortage**, not a surplus.

B A shortage of 60 ✓ **CORRECT**
At 15,000₫, quantity demanded = 150 and quantity supplied = 90. Qd > Qs, so there is a **shortage** of 150 − 90 = 60.

C A surplus of 150
If you chose C: 150 is only the quantity demanded. A shortage or surplus is the **gap** between Qd and Qs.

D A shortage of 90
If you chose D: 90 is only the quantity supplied. You need the **gap**: 150 − 90.

15 **The diagram shows a market where the price is at P1. What will happen next in a free market?** 2.4 · Reading tables and diagrams



A Price rises; quantity demanded contracts
If you chose A: Price rises only when there is a **shortage**. At P1 there is a surplus.

B Price rises; quantity supplied extends
If you chose B: Price rises only when there is a **shortage**. At P1 there is a surplus.

C Price falls; quantity supplied contracts ✓ **CORRECT**
At P1, quantity supplied is bigger than quantity demanded, so there is a **surplus**. Sellers cut the price to sell unsold stock. As the price falls, quantity supplied **contracts** and quantity demanded **extends** until the market reaches Pe.

D Price falls; the supply curve shifts left
If you chose D: The direction of the price is right, but the curves do **not** shift. The market moves **along** the curves back to equilibrium.

16 **Use the canteen table in Question 14 again. What are the equilibrium price and quantity?** 2.4 · Reading tables and diagrams

A 20,000₫ and 120 bánh mì ✓ **CORRECT**
Equilibrium is where **Qd = Qs**. At 20,000₫, both are 120.

B 25,000₫ and 150 bánh mì
If you chose B: At 25,000₫, Qs (150) is bigger than Qd (90). That is a surplus, not equilibrium.

C 20,000₫ and 240 bánh mì
If you chose C: The price is right, but don't **add** Qd and Qs. At equilibrium they are equal, so the quantity is 120.

D 15,000₫ and 150 bánh mì
If you chose D: At 15,000₫ there is a shortage (Qd 150, Qs 90). 150 is only the quantity demanded.

17 **Just before Tết, demand for peach blossom branches (hoa đào) increases as families decorate their homes. What happens to the equilibrium price and quantity of hoa đào?** 2.5 · Cause and effect chains

A Price falls, quantity rises
If you chose A: "Price falls, quantity rises" is the result of an **increase in supply**, not an increase in demand.

B Price falls, quantity falls
If you chose B: "Both fall" is the result of a **decrease in demand**. Here demand rises.

C Price rises, quantity rises ✓ **CORRECT**
Demand **increases** (shifts right). At the old price there is a shortage, so the price rises. Quantity supplied extends. The new equilibrium has a **higher price and a higher quantity**.

D Price rises, quantity falls
If you chose D: "Price rises, quantity falls" is the result of a **decrease in supply**. Here it is demand that changes.

18 **The weather in the Mekong Delta is very good this year, and farmers grow a very large crop of mangoes. What happens to the equilibrium price and quantity of mangoes?** 2.5 · Cause and effect chains

A Price falls, quantity rises ✓ **CORRECT**
Supply **increases** (shifts right). At the old price there is a surplus, so the price falls. Quantity demanded extends. The new equilibrium has a **lower price and a higher quantity**.

B Price rises, quantity falls
If you chose B: This is the result of a **decrease** in supply (for example, bad weather). Here the weather is good.

C Price rises, quantity rises
If you chose C: This is the result of an **increase in demand**. Good weather affects farmers, so it changes supply.

D Price falls, quantity falls
If you chose D: This is the result of a **decrease in demand**. Good weather affects supply, not demand.

19 **A famous singer drinks trà sữa in a music video, and demand for trà sữa increases. Which is the correct order of events?** 2.5 · Cause and effect chains

A Price rises → demand shifts right → shortage → supply extends
If you chose A: The price does not rise first. The shift comes first and creates a shortage, and *then* the price rises.

B Demand shifts right → surplus → price falls → supply contracts
If you chose B: An increase in demand creates a **shortage** at the old price, not a surplus.

C Shortage → demand shifts right → price rises → supply shifts right
If you chose C: The shortage comes **after** the shift. Also, supply does not shift: producers move **along** the supply curve.

D Demand shifts right → shortage → price rises → supply extends ✓ **CORRECT**
The chain always starts with the **shift**: demand shifts right → at the old price Qd > Qs (a **shortage**) → the price rises → producers **extend** supply (a movement along S) until a new equilibrium is reached.

20 **In the market for electric motorbikes, consumers' incomes rise (electric motorbikes are a normal good). At the same time, new battery technology lowers production costs. Which result is certain?** 2.5 · Cause and effect chains

A The equilibrium price will rise
If you chose A: Price rises only if the demand shift is bigger than the supply shift. We don't know that, so it is not certain.

B The equilibrium quantity will rise ✓ **CORRECT**
Demand shifts **right** (higher incomes), and supply shifts **right** (lower costs). Both shifts raise quantity, so **quantity definitely rises**. The demand shift pushes price up and the supply shift pushes it down, so the price change depends on which shift is bigger.

C The equilibrium price will fall
If you chose C: Price falls only if the supply shift is bigger. We don't know that, so it is not certain.

D The equilibrium quantity will fall
If you chose D: Both shifts push quantity **up**. Analyse each shift on its own first, then combine them.